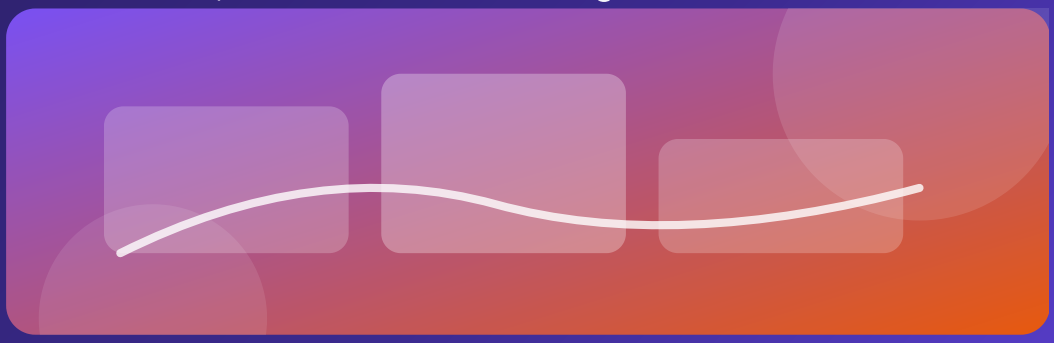
SkillNavora · Product Management Master Handbook

Module 12: Agentic AI and AI Systems

Detailed supplement: automation versus agents, n8n workflows, the layers of an AI system, AI economics, monetisation, evaluation and working with AI teams



Written by Varun Kumar, for SkillNavora · Draft

Official site: www.skillnavora.in

Prepared for Skillnavora — Learn. Practise. Implement. Grow.

MODULE 12 · HOW TO USE THIS SUPPLEMENT

Coverage map: what is new and what is already in the module

The main Module 12 handbook covers agents in depth. This supplement adds the deck's practical layers: automation versus agents, n8n flows, the layers of an AI system, the unit economics of AI features, monetisation patterns, a cost versus value matrix, evaluation, and working with AI and ML teams.

Topic (Week 11 deck)	Handbook section	Status here
Automation versus agent	12.x (partial)	Extended: a table with examples
n8n: trigger, node, workflow, JSON	—	New: core concepts with PM analogies
Build a feedback-to-Slack flow	—	New: the four-step demo flow
Layers of an AI system	12.x (partial)	New: five layers, with a PM question each
AI economics: tokens, infrastructure, margin	—	New: how cost is built up, with the deck's figures
Monetisation patterns and cases	—	New: add-on, per-action and per-resolution pricing
Bundle or charge for an AI feature	—	New: a usage rule of thumb
Cost versus value matrix	—	New: kill, re-evaluate, ignore, scale
Evaluating AI systems	12.x (partial)	Extended: metrics, tests and PM actions
Working with AI and ML teams	—	New: what to agree early

NOTE ON THE SOURCE

The deck's prices, revenue figures and case-study percentages are examples quoted in the course. They change over time and some are company claims. Check each one on the company's own page before you quote it.

Automation versus agent

An automation runs fixed steps. An agent decides what to do next, within limits. Choose automation when the steps are known; choose an agent when the path depends on the input.

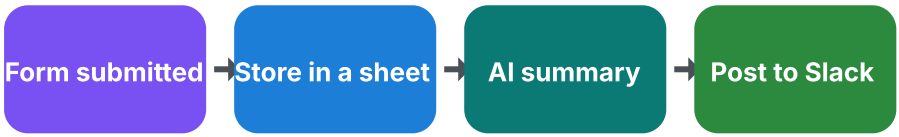
Type	What it does	Example
Automation	Follows fixed steps	Send a Slack alert when the NPS score is below 7
Agent	Decides what to do	Route a message to the right team based on its topic

NEW · WORKFLOWS

n8n: triggers, nodes and JSON

n8n is an open-source, node-based workflow tool. Think of it as a blueprint for a process, built from connected steps.

Term	Meaning	PM analogy
Trigger	Starts the workflow	An event happens
Node	One action step	A task in your flow
Workflow	The full sequence	A process blueprint
JSON	Structured data: key-value pairs; each node passes it on	The data a step hands to the next one

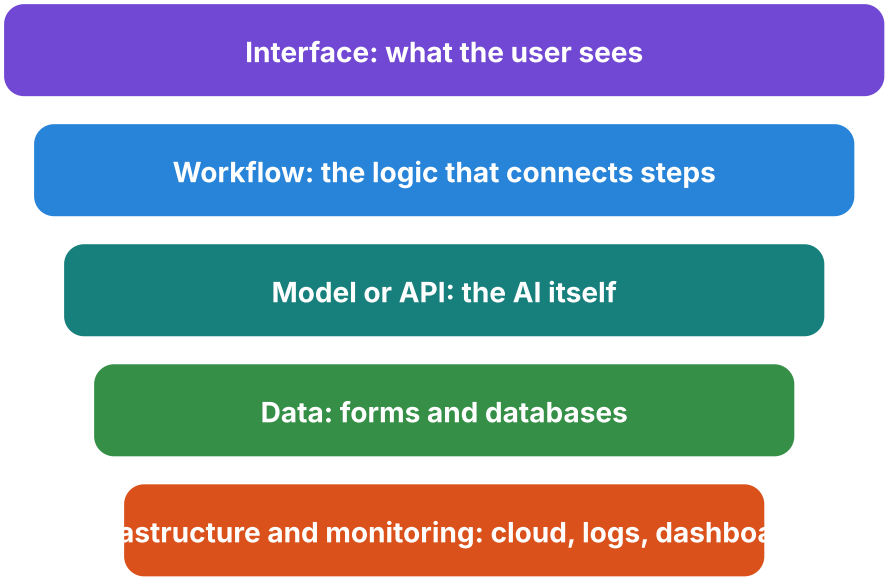


Feedback-to-Slack demo flow

NEW · LAYERS

The five layers of an AI system

An AI feature is more than a model. It is a stack of layers, each with its own cost and failure modes.



The layers of an AI system

NEW · AI ECONOMICS

Tokens, infrastructure and margin

The cost of an AI feature is built from tokens, models, infrastructure and margin. A simple form: **API cost = price per token × tokens used**. Margins depend on volume and on how often outputs are reused.



Illustrative cost split for one AI feature

Deck example (verify current prices): at the rates quoted in the deck, one million input tokens cost about $5 and one million output tokens about $15. The same logic applies to any provider: count the tokens each user action uses, then multiply.

NEW · MONETISATION

Patterns and the bundle rule

The deck groups AI monetisation into patterns. Each one needs a clear unit of value.

Pattern	Example in the deck	How it charges
Add-on subscription	An AI add-on priced per month	Monthly fee on top of the product
Per action	An AI writing tool with templates	Charge per generated output
Per resolution	An AI support agent	Charge only when a ticket is resolved
Bundled	A free assistant inside a tool people already use	No separate charge; it drives retention

Bundle or charge (usage rule of thumb): if fewer than 70 percent of users use the feature, charge for it separately; if more than 70 percent use it, bundle it to drive stickiness. Test the threshold with your own data.

NEW · DECISIONS

Cost versus value: kill, re-evaluate, ignore, scale

Plot each AI feature by its cost and its value. The matrix gives one of four decisions.



Cost versus value matrix

Re-evaluating a costly feature usually means changing the model, the prompt length or how often the feature runs.

EXTENDED · EVALUATION

Evaluate AI systems with a small test set

Automation is not impact. Evaluation links AI performance to business results, detects drift and waste, and justifies return on investment.

Metric	How to test	PM action
Accuracy	Check 10 sample outputs	Tune the prompt or the feedback loop
Latency	Average response time	Optimise the slowest node
Cost	Token logs	Estimate return on investment
Bias	Compare results across segments	Document the risk
Hallucination	Fact-check a subset	Improve retrieval

The deck's case figures for AI coding and writing tools are company claims, quoted as examples. Verify them before using them in a plan.

NEW · COLLABORATION

Working with AI and ML teams

AI and ML teams work best when the PM agrees on four things early:

- The input and the output of the feature.
- The prompts, shared with the developers who build them.
- The logs and costs, tracked together.
- What counts as success, and when to stop.

Quiz with answers

1. When is an agent a better choice than an automation?
   Answer: when the path depends on the input and the steps cannot be fixed in advance.
2. What is a node in n8n?
   Answer: one action step in a workflow.
3. What is the formula for the API cost of a feature?
   Answer: price per token multiplied by the tokens used.
4. In the matrix, what should you do with a costly feature of low value?
   Answer: kill it.
5. What is the 70 percent rule of thumb?
   Answer: if fewer than 70 percent of users use the feature, charge for it; if more, bundle it.

MODULE 12 · FINAL

Completion checklist

Completion checklist

Done	Item
☐	Read the coverage map
☐	Built one n8n flow with a trigger, a node and an output
☐	Mapped the five layers for one AI feature
☐	Calculated the token cost of one user action
☐	Placed one feature on the cost versus value matrix
☐	Wrote an evaluation table with three metrics